Finly: An AI Trading Agent That Shows Its Work

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An artificial intelligence can read a great deal about a market, but this does not mean that it should decide how much capital to risk. Finly begins with that distinction. It is a paper-trading system in which a language model interprets a small body of current public evidence, while ordinary code controls direction, exposure, contract selection, order fields, and permission to trade. The model may explain uncertainty and stop an options proposal. It cannot enlarge the position or rewrite its economic terms. Finly keeps what language models do well—the comparison of heterogeneous information—without asking prose to serve as a risk engine.

The system has two parts. Its frozen G4 equity rule holds half of its risky allocation in QQQ and divides the other half among the three strongest of the original nine Select Sector SPDR funds, ranked by twelve-to-six-month momentum. The competition signal used Alpaca IEX data through 28 August 2026 and selected XLB, XLE, and XLV. A three-percent cash reserve sets the paper-account targets at 48.5 percent QQQ and 16.1667 percent in each selected sector. The rule, inputs, allocation, order identities, and competition window were fixed before the opening bell; there is no in-contest re-optimization [1,2].

Finly's separate SPY options workflow turns public news, market observations, option data, event information, and a small prediction-market input into a reviewable decision. A hosted Qwen3-32B model reads only public news. Code then applies freshness, liquidity, payoff, buying-power, and risk limits before it can build a bull-call spread, a bear-put spread, or no trade. A short-lived permit ties the checked evidence and risk calculation to one exact paper order. In the public demonstration, Finly produced a SPY debit spread with a maximum loss of $366 and a maximum gain of $634. The required safety behavior survived all four source-removal checks and all thirty-two input changes [3].

The historical case gives a concrete reason to test this architecture. In a 2013–2026 simulation with five basis points of modeled one-way cost, $10,000 became $106,711 under G4 and $68,082 under SPY—a $38,629 difference [4]. Because G4 was selected during research, that result is evidence about the past, not a promise about the competition. We therefore reran a fixed industry version on Kenneth French's public data from 1927 through 2007. Across 21,218 earlier trading days, it annualized at 13.37 percent against 9.48 percent for the market, stayed ahead at all twenty-one monthly anchors, retained a 2.45-percentage-point advantage under a twenty-five-basis-point cost stress, and had a maximum drawdown 16.31 percentage points shallower [5,6].

Finly now runs through Alpaca's official MCP server against a dedicated $100,000 paper account. Before an order, the cloud runner checks the account, frozen signal, market session, asset eligibility, cash, and intended amount. It records each intent before submission, reads the broker state back afterward, and uses fixed order identities to avoid duplicates after a lost acknowledgement. Private restart state is encrypted; the public dashboard shows only sanitized account and decision fields [7–9]. The repository's 803 automated tests—801 passing and two skipped in the public run—exercise the calculations, broker translation, restart logic, and safety limits [10]. No replay can settle what the frozen rule will earn next. Finly supplies a public way to learn the answer while keeping the model useful, the risk finite, and every trade open to inspection.

References

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